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IEA cuts oil demand outlook as diesel shortage extends into 2027

- Diesel accounts for a quarter of the decline
- Refining margins diverge as freight costs surge
- Global refinery runs forecast to fall in 2026

The International Energy Agency cut its forecasts for global oil demand this year and slashed its estimate for next year's demand recovery, Oct. 14, warning that diesel supplies will remain tight well into next year as the Middle East war continues to hit supplies and fuels pump prices.

World oil demand is now set to decline by an average of 2.6 million barrels/day in 2026 as the impact of the war in the Middle East weighs on markets and demand growth is not expected to return to positive territory until March 2027, the IEA said in its latest monthly Oil Market Report. The agency kept its average 2026 world oil demand at 102.4 million b/d but cut 2027 demand to 104.4 million b/d from 105 million b/d in its September report, leaving 2027 consumption about 620,000 b/d, or 0.6%, below 2025 levels.

The IEA forecast global demand falling by 2.5 million b/d year over year in the fourth quarter of 2026, following contractions of 5 million b/d in the second quarter and 3.7 million b/d in the third quarter. In September, the IEA had forecast a 2.5 million b/d decline in global oil demand in 2026 and a 2.6 million b/d rebound in 2027.

"As the Iran war manifests itself through restricted product availability, soaring fuel prices and a deteriorating economic outlook, diesel will register 25% of the drop," the IEA said.

Platts, part of S&P Global Energy, assessed Dated Brent

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INTERVIEW: India seeks to attract upstream capital with offshore reforms, deepwater drilling support

- Upstream reforms to address investment risks across full cycle
- Scope to build partnerships with national oil companies
- Samudra Manthan conceived as long-term energy security initiative

India has opened a large swath of previously inaccessible offshore basins as it seeks to attract investment in exploration and production, combining new acreage with economic incentives and support through the Samudra Manthan program, Neeraj Mittal, secretary at the Ministry of Petroleum and Natural Gas, said Oct. 13.

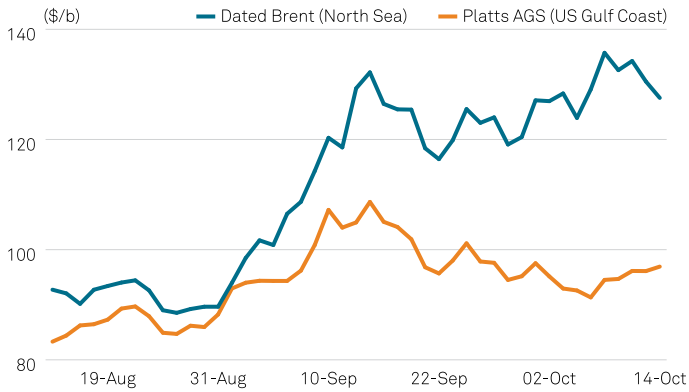
The reforms are designed to address investment risks across the full exploration and production cycle, from evaluating geological prospects to developing discoveries and bringing them on stream. However, the government recognizes that offshore exploration remains uncertain and capital-intensive, requiring patient, long-term capital, technical expertise and disciplined execution, Mittal told Platts, part of S&P Global Energy, during an oil markets podcast.

"My message to companies, global companies, is to examine the opportunities closely and engage with us. There is considerable scope to build partnerships, if required, with national oil companies, which we think would be commercially rewarding and would contribute to India's domestic energy supply as well. The opportunity ahead will turn a new accessible frontier into a sustained program of exploration and development," Mittal said.

Investors will have access to stable contracts, deepwater fiscal incentives, publicly funded seismic surveys, shared infrastructure and conditional government support for frontier drilling, he added.

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Benchmark Platts spot crude prices



Source: S&P Global Energy

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Asia Pacific

China's Huajin Aramco receives first Saudi crude cargo ahead of startup

- 300,000 b/d facility nears commercial operation
- Joint venture receives Arab Medium crude on VLCC

Huajin Aramco Petrochemical Co. has received its first Saudi crude cargo, marking a key milestone in establishing feedstock supplies as the northeastern China refining and petrochemical complex moves closer to startup, Saudi Aramco said Oct. 14.

The cargo's arrival underscores progress at the Panjin-based project in Liaoning province, which is currently in the production preparation stage, according to a statement posted on Aramco's WeChat account.

Huajin Aramco, or HAPCO, is a joint venture between Norinco Group, Panjin Xincheng Industrial Group and Saudi Aramco, with shareholdings of 51%, 19% and 30%, respectively.

The project includes a 300,000 b/d refinery, a 1.65 million mt/year ethylene plant and a 2 million mt/year paraxylene plant.

The crude cargo was carried by the Saudi-flagged VLCC Kassab. The vessel loaded Arab Medium crude at Saudi Arabia's Juaymah terminal in the Persian Gulf around Sept. 3 and discharged at HAPCO's terminal on Oct. 6, according to S&P Global Commodities at Sea data.

The latest shipment follows the arrival of HAPCO's first VLCC crude cargo in September, a key step in commissioning logistics and storage facilities ahead of startup.

— Daisy Xu - Oil Market Specialist

MALAYSIA DATA: Aug total oil product output up 10.6% YOY; fuel oil, gasoline falls

- August combined output rises 7.1% MOM
- Crude oil imports, exports fall

Malaysia's combined oil product output rose 10.6% year on year to 3.64 million metric tons in August, preliminary data from the Department of Statistics showed Oct. 12, with kerosene, LPG, gasoil and naphtha production increasing.

The combined output of oil products in August also grew 7.1% month over month, led by kerosene, LPG and gasoil, the data showed.

Malaysia's combined oil products include gasoline, gasoil, fuel oil, kerosene, LPG and naphtha.

In the first eight months of 2026, the combined output of Malaysia's oil products totaled 26.82 million mt, up 5.2% year over year, with kerosene, gasoil, gasoline and naphtha production increasing over the period.

Malaysia produced 1.84 million mt of gasoil in August 2026, up 8.22% from 1.70 million mt a year earlier and up 12.50% from 1.63 million mt in July, the data showed.

Production of kerosene surged 43.88% year over year and rose 15.20% month over month to 415,849 mt in August.

The increase in middle distillate output coincided with an uptrend in refining margins.

The Platts-assessed FOB Singapore 10 ppm sulfur gasoil derivative crack spread against the front-month Dubai swap — a measure of the product's relative strength against the crude from which it was refined — averaged $67.42/b in August, up from $61.79/b in July and $44.98/b in June

Similarly, the FOB Singapore jet fuel/kerosene derivative crack spread against the front-month Dubai swap averaged $64.45/b in August, up from $60.26/b in July and $44.86/b in June, Platts data showed.

Among light ends, Malaysia's gasoline production fell 9.11% month over month and 1.37% year over year to 546,400 mt in August.

Malaysia's gasoline output could rise on the back of the return of the 300,000 b/d Malaysia's Melaka refinery from its planned maintenance works in early October, Platts reported earlier.

Malaysia's naphtha production fell for the second consecutive month, declining 8.40% month over month to 371,770 mt in August. Year over year, production grew 25.85%.

From January to August, naphtha output was up 15.88% to 3.29 million mt.

Platts assessed the benchmark C+F Japan naphtha price at an average of $792.71/mt in August, down slightly from $798.18/mt in July.

Meanwhile, Malaysia produced 276,878 mt of LPG in August, the country's highest output since May 2025, when it produced 314,688 mt. The country's August LPG production rebounded 34.82% from July and 11.12% from August 2025, after two consecutive monthly declines and four consecutive months of year-over-year declines.

Consumers primarily use LPG for household cooking, with the remainder largely exported as pressurized cargoes to countries such as Thailand, Vietnam and the Philippines.

According to S&P Global Commodities at Sea, Malaysia exported 116,000 mt of LPG in August, down more than 17% from 140,000 mt in July. The bulk of its exports went to China, with 50,000 mt, Cambodia, with 19,000 mt and Thailand, with 13,000 mt.

Separately, Malaysia produced 2.19 million mt of LNG in August, down 1.05% year on year and 13.09% from July. Its LNG production in the first eight months of the year totaled 17.78 million mt, down 2.90% year on year, the data showed.

The country exported 19.82 million mt of LNG in January-August, up 17% year on year, the department said Sept. 28.

Malaysia imported 24 million mt of refined products in January-August, up 9.6% year on year, the data released Sept. 28 showed. The country also exported 22.88 million mt of oil products in the period, down 2.7% year on year.

Malaysia exported 1.52 million mt of oil products to Vietnam in the first eight months, up 33.7% year on year, making it Vietnam's third-largest refined product supplier during the period, preliminary data from Vietnam Customs showed.

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Malaysia imported 10.22 million mt of crude oil between January and August, down 30.7% year on year. Meanwhile, it exported nearly 3.5 million mt of crude oil in the period, down 32.9% year on year, the data released Sept. 28 showed.

Malaysia's oil products, LNG output (mt)

	Aug-26	Aug-25	Y/Y Change (%)	Jul-26	M/M Change (%)
Kerosene	415,849	289,027	43.88	360,969	15.20
LPG	276,878	249,169	11.12	205,368	34.82
Fuel oil	189,976	203,486	-6.64	190,272	-0.16
Gasoil	1,838,822	1,699,176	8.22	1,634,526	12.50
Gasoline	546,400	553,977	-1.37	601,137	-9.11
Naphtha	371,770	295,412	25.85	405,858	-8.40
LNG	2,186,726	2,210,026	-1.05	2,516,197	-13.09
Total	**3,639,695**	**3,290,247**	**10.62**	**3,398,130**	**7.11**

	Jan-Aug 2026	Jan-Aug 2025	Y/Y Change (%)
Kerosene	3,345,568	3,005,321	11.32
LPG	1,768,758	1,967,819	-10.12
Fuel oil	1,614,303	1,692,629	-4.63
Gasoil	13,290,025	12,551,579	5.88
Gasoline	3,514,248	3,442,810	2.07
Naphtha	3,285,866	2,835,668	15.88
LNG	17,775,826	18,307,082	-2.90
Total	**26,818,768**	**25,495,826**	**5.19**

Source: Department of Statistics

— Rachelle Teo, Shu ling Lee, Mei huey Ng, Joshua Ong, Zoey Ng, Norazlina Jumaat, Newsdesk-Vietnam

Europe, Middle East and Africa

BP eyes next phase of GTA gas project 'quite soon' as Senegal woos oil investors

- 2.5 million mt/y gas field came online in 2024
- Senegal offers 104 licenses to new investors
- Dakar takes more pragmatic tone towards industry

The next phase of the huge Greater Tortue Ahmeyim gas project on the Senegal-Mauritania border could come "quite soon," operator BP PLC's country head said Oct. 14, while Senegal's energy minister signaled a shift in tone toward the oil and gas industry.

During a panel discussion at the Africa Energy Week conference in Cape Town, Massaer Cisse, BP's vice president and head of country, said GTA required "quite a unique approach to developing shared resources," emphasizing the importance of cooperation among the companies and a pair of host governments.

"We are looking forward to progressing it," Cisse said. "We are working with our partners to make sure the next phase of this project comes along quite soon."

He added that the growing importance of LNG in international energy markets – and the competition to secure cargoes – means GTA "has a big role to play."

Phase 1 of GTA came online at 2.5 million metric tons/year in 2024, with its first cargo loading earlier last year. It could reach 5 million mt/y in its second phase and 10 million mt/y in its third and final phase.

However, Senegalese officials have bristled publicly at the pace of the ramp-up, complaining in particular about the limited domestic gas supply from the project as is. A Phase 1+ is now expected to precede a full second phase, with a guaranteed domestic supply built in.

US-based player Kosmos Energy Ltd. also holds a non-operated interest.

Cisse's comments follow a softening in approach by Dakar, with President Bassirou Diomaye Faye dismissing populist Prime Minister Ousmane Sonko in May and recently replacing Senegal's energy minister as part of a broad reshuffle.

Addressing the conference, new minister El Hadji Abdourahmane Diouf said Senegal was seeking new partners for its 104 available onshore and offshore oil and gas blocks, after five were signed by Italian major Eni SpA.

"Sangomar and GTA demonstrate the basin's potential, but much remains to be evaluated," Diouf said, referring to Woodside's 100,000 barrels/day Sangomar oil project, which he said shipped 36 million barrels last year.

He said the country was abiding by international processes, working to "ensure that potential investors know the country is ready to work with them" and "extending its hands" for partnership. The agenda included assurances of investor returns and clarification of procedures for potential partners.

Tone shift

It marks a shift in tone from Diouf's predecessor, Birame Souleye Diop, who floated potential contract renegotiations and audits alongside vocal demands for domestic gas supply.

Ibrahima Noba, the director general of hydrocarbons at the energy ministry, told the conference that Senegal was focused on accelerating exploration to make new discoveries and promised to "review our legal framework...to attract investment."

Diouf noted, however, that the country continues to prioritize projects with built-in domestic gas supply, adding that even associated gas from Sangomar could be used locally.

On Sept. 10, Senegal laid the first pipeline for the northern segment of its new national gas network, a key effort to expand gas supply for power and industry, Diouf said.

It is also hoping to secure a new partner for the Yakaar-Teranga gas field, which Kosmos previously operated before handing its stake back to state-run Societe Des Petroles Du Senegal in April. The offshore field contains as much as 25 Tcf of gas, according to Senegalese officials.

Diouf was speaking just weeks after Petrosen agreed with Turkey's Yamata to build a second 4 million mt/year oil refinery to process Sangomar crude.

The $2 billion-$3 billion project should supply the local market and create opportunities in distribution, storage and petrochemicals, Diouf said.

— Charlie Mitchell

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Novak says Russian oil production set to rise after plant restarts

- Refineries resume after maintenance downtime
- US-Russia energy talks progress at multiple levels
- Diesel exports target 3.5M mt/month by end of 2026

Russia's Deputy Prime Minister Alexander Novak said Oct.14 the country's oil production is set to recover and grow as refineries return from maintenance, while negotiations with the US on energy supply contracts are actively underway.

"The situation is improving. A number of our plants have resumed operations following maintenance, and the situation today is significantly better than it was a month or two weeks ago," Novak said on the sidelines of the Russian Energy week, according to TASS.

Russian oil production will "recover and increase in line with the capabilities" of infrastructure and refining facilities, Novak said, adding that the deal with the US is "a positive signal for the economy, linked to increased refining volumes at oil refineries, higher production levels, and additional tax revenue for the budget," he said.

On Oct.10, the Russian government partially lifted a diesel export ban implemented at the beginning of July. The restrictions were weakened after negotiations with the US administration.

The US Treasury Department issued a sanctions waiver on Oct. 9, allowing the sale, delivery and import of Russian-origin diesel fuel, including importation into the US.

Novak said negotiations between the Russian and US energy ministries on supply contracts are ongoing at both the ministerial and corporate levels, though no agreements have been finalized.

"A mechanism will be found to facilitate these supplies," Novak said.

Russia's Deputy Prime Minister said that any supplies agreed under the framework would move to global markets, including to the US, through direct contracts.

Novak also acknowledged that attacks on energy infrastructure remain a material risk to supply recovery, though he said defensive measures are being strengthened.

"Of course, much depends on how the situation regarding attacks on energy infrastructure unfolds; although our plants are being defended, we are strengthening that protection. In this sense, this represents one reason for improving the situation," he said.

Novak reiterated that Russia is ready to increase its diesel exports to global markets to as much as 3.5 million metric tons/month by the end of 2026.

Before the start of the refining crisis triggered by Ukraine's attacks on the country's energy infrastructure, Russia was the second-largest diesel exporter. Russian diesel and gasoil exports averaged about 3.3 million mt/month over January-May, roughly in line with the 2025 volumes, according to S&P Global Commodities at Sea. Exports have started to decline from June, reaching 479,000 mt in September, the lowest monthly volume on record, according to CAS data, which dates back to 2016.

About 45% of Russia's primary refining capacity was offline as of the end of September, according to S&P Global Energy CERA analysts.

Ukraine's President Volodymyr Zelenskyy said that Russia must stop striking Ukraine's energy system and killing Ukrainians if it wants Ukraine to halt its strikes on Russian oil refineries and oil exports.

— Alexandra Vladimirova

Houthis target Saudi Aramco facilities in Dhahran, Riyadh

- Group vows more strikes on Saudi oil facilities
- Dhahran administrative building catches fire: SPA

Houthi militants have attacked Saudi Arabian Oil Co.'s sites in Dhahran, home to the company's headquarters, and in Riyadh, while vowing to continue targeting the company's oil facilities, according to an Oct. 14 statement from the Yemen-based group.

"The Yemeni Armed Forces have carried out a qualitative military operation targeting Aramco Company in Dhahran in the Eastern Province, King Khalid International Airport and the Aramco refinery in Riyadh," Houthi Spokesperson Yahya Saree said in a statement on X, adding that the operations would "continue in the coming days, striking the Saudi enemy's airports and oil facilities."

An Aramco administrative building in Dhahran was targeted Oct. 13 and caught fire, the state-run Saudi Press Agency said Oct. 14, citing an official energy ministry source. There were no injuries or fatalities, SPA said.

Aramco did not immediately respond to an email request for official comment on the Houthis' statement Oct. 14.

On Oct. 3, Houthis targeted "the Aramco Company" in the Saudi capital, Riyadh, using "ballistic missiles and drones," according to a post on X by Saree, who said a fire had erupted at the targeted sites. The Saudi energy ministry did not confirm the attack.

On Oct. 11, Houthis said Aramco's Shedgum gas plant and its Tanajib oil facility in the Eastern Province were targeted and struck, resulting in fires at both locations. Prior to the strikes on Aramco's facilities on Oct. 11, Houthis said they had launched missile and drone attacks on Riyadh's King Khalid Airport and Dammam's King Fahd Airport.

— Lulwa Albuainain

Liberia eyes first commercial oil find with new licensing round

- Direct negotiation round includes 29 blocks
- TotalEnergies awarded four licenses in 2025
- Comes amid renewed IOC interest in Africa

Liberia launched a 29-block oil and gas licensing round Oct. 14 that it hopes will yield its first commercial discovery. The round,

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which will take the form of direct negotiations, was launched by Marilyn Logan, director general of the Liberia Petroleum Regulatory Authority, on the sidelines of the Africa Energy Week conference in Cape Town.

It features 29 offshore blocks in the Liberia and Harper Basins, which bear geological similarities to acreage in neighboring Cote d'Ivoire, according to the LPRA. The licenses span deep and ultra-deep water blocks.

According to promotional materials, Liberia has more than 50,000 km of 2D seismic covering its offshore acreage, and 31,000 square km of 3D data.

In prepared remarks, Logan said the bid round was a "defining moment for Liberia's offshore petroleum sector," adding that the country was open for "responsible" investments.

"Our ambition is clear: to open offshore potential in the national prosperity and work together towards Liberia's first commercial discovery," she added. "The opportunity is now."

The bid round comes after non-producing Liberia awarded four exploration licenses spanning 12,700 square km to French supermajor TotalEnergies in 2025, and four more to Nigeria's Oranto Petroleum, amid rising IOC interest in deepwater exploration in the Atlantic Margin.

Those awards followed a 2024 direct negotiation licensing round by the LPRA.

Frontier countries like Sierra Leone, Namibia and Guinea Bissau, as well as established producers like Gabon and Angola, have improved their fiscal terms and issued calls for new investments in their upstream sectors in a bid to take advantage of renewed IOC interest amid changing energy transition narratives and wars in Ukraine and Iran.

Cote d'Ivoire's nascent oil sector saw the start up of Eni's huge Baleine oil field in 2023.

ExxonMobil has also been active in Liberia in the past, drilling the Mesurado-1 wildcat in Block 13 in 2016, but it ultimately plugged the well and exited the country.

Previous plans in 2021 to open 33 offshore blocks in its Harper and Liberia basins for direct negotiation attracted limited interest from companies amid the pandemic.

— Charlie Mitchell

The Americas

VENEZUELA DATA: Crude output edges up to 1.218 million b/d in Sept.

- Orinoco Belt crude production 690,000 b/d
- West output leads East, Barinas-Apure production
- Offshore output 14,100 b/d; PDVSA Gas 4,900 b/d

In September, average crude production from Venezuelan state oil company PDVSA and its foreign partners, including output under productive production contracts, or CPPHs, edged up to 1.218 million barrels/day from 1.213 million b/d in August, according to preliminary data from the Ministry of Hydrocarbons reviewed by Platts, part of S&P Global Energy.

Venezuelan production remained broadly stable, although it was affected by prolonged power outages, especially in the west, and delays in upgrading the infrastructure that supports oil operations, according to the report.

The Ministry of Hydrocarbons report contains preliminary, unofficial information that may change after consolidation. The preliminary data does not include condensate production, which the report estimated at 66,000 b/d for August.

Western fields

Output from western fields in the states of Zulia and Trujillo remained at 359,000 b/d in September, unchanged from the average for August.

The preliminary report showed that production from PDVSA-operated fields in the west remained at an average of 70,000 b/d. Production from joint ventures and productive production contracts remained at an average of 288,000 b/d in September.

Production at Petroboscan, owned 60% by PDVSA and 40% by Chevron Corp., fell to 115,307 b/d in September from 116,757 b/d in August.

At the end of August, the US departments of State and War reached a deal with North American Blue Energy Partners, or NABEP, to expand oil production in Venezuela. As part of the deal, NABEP will have operating control of 17 fields, including five Petrozamora fields in Zulia state that it already controlled.

Petrozamora's production rose to 98,369 b/d in September from 97,816 b/d in August. Production at seven other fields in Zulia state awarded to NABEP — Lagunillas Lago, Intercampo Norte, Tia Juana Lago, Lagomar, Rosa Medio, Lago Medio and Lago 5 — totaled 51,493 b/d in September, down from an August average of 53,626 b/d.

Until August, the Lagunillas Lago and Lago 5 fields were operated by China Concord Resources under productive production contracts signed with the Venezuelan government in 2024. Meanwhile, the Intercampo Norte field was operated by the Sinovenezolana joint venture, according to previous reports.

In September, production at selected oil fields in Zulia state was as follows: Petroregional del Lago, owned 60% by PDVSA and 40% by Maurel & Prom SA, produced 22,131 b/d; Petroquiriquire Occidente, owned 60% by PDVSA and 40% by Spain's Repsol SA, produced 35,750 b/d.

Fields in Barinas and Apure states operated by Colombia's Colven under a productive production contract produced 10,000 b/d in September.

PDVSA's production and participation contracts, or CPPs, now called primary hydrocarbon activity contracts, were incorporated as a business model under the reform of the Hydrocarbons Law approved at the end of January.

Orinoco Belt

Production in the Orinoco Belt, Venezuela's main oil-producing area, rose to 690,000 b/d in September, up 5,000 b/d from the

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685,000 b/d reported in August, according to preliminary data.

The Orinoco Belt is divided into four main blocks: Carabobo, Ayacucho, Junín and Boyacá. Production in the Boyacá block was zero from January through September.

In the Orinoco Belt, joint venture Petropiar produced an average 120,000 b/d in September, according to the report.

US-based Chevron is scheduled to conduct major maintenance at the Petropiar upgrader in the José Antonio Anzoátegui Industrial Complex in eastern Venezuela's Anzoátegui state, Platts previously reported.

The Petropiar upgrader has the capacity to process 190,000 b/d of 8 API crude and produce Hamaca Blend, a 26 API crude that is exported and processed at the Amuay refinery in Paraguaná, Falcón state. The upgrader can also operate in blending mode to produce Merey crude. In April, PDVSA and Chevron signed an agreement to integrate the Ayacucho 8 block into Petropiar's operations.

Additional details were not available.

Eastern fields and offshore production

Average production from fields in Monagas state remained at 140,000 b/d in September, according to preliminary data.

Monagas state produces Mesa and Santa Bárbara light crude grades, which PDVSA uses in its refining system and to dilute extra-heavy crude from the Orinoco Belt.

Offshore production was 14,100 b/d, while PDVSA Gas produced 4,900 b/d in September, according to the preliminary data.

In August, Venezuela reported average crude production to OPEC of 1.201 million b/d, while OPEC's secondary sources estimated the country's output at 1.145 million b/d, according to the organization's Monthly Oil Market Report.

PDVSA expects crude production to reach 1.37 million b/d by December, up 430,000 b/d from 940,000 b/d in January, the company's executive vice president, Jovanny Martínez, told oil industry executives during an April 27 presentation in Caracas.

PDVSA did not immediately respond to a request for official comments from Platts.

— Mery Mogollon

Venezuela's PDVSA eyes 1.5 mil b/d crude output by end-2027

- PDVSA expects to reach 1.3 mil b/d by Dec. 31, 2026
- Projects 18,000-20,000 b/d growth per month for 2027
- Increasing oil output requires more electricity: expert

State-owned company PDVSA lowered its 2026 oil output target, estimating that Venezuela will reach 1.3 million barrels/day by Dec. 31, according to Hector Obregón, the company's president, who spoke to business leaders in Caracas.

"We project sustained growth of 18,000-20,000 b/d per month throughout 2027, ending the year at nearly 1.5 million b/d," Obregón said in a summary of his speech published by PDVSA on the social media platform Telegram on Oct. 9.

PDVSA is expected to reach crude oil production of 1.37 million b/d by December, the company's executive vice president, Jovanny Martinez, said during a presentation to oil industry executives in Caracas on April 27.

"Oil production has grown 8% over the past 12 months," Venezuela's Interim President Delcy Rodríguez said Oct. 8 at the opening of the business event, according to a post on Telegram.

Rodríguez presented business leaders with a figure of 1.218 million b/d, including condensates and natural gas liquids, for September, representing an increase of 90,000 b/d from September 2025.

In August, Venezuela reported average OPEC production of 1.201 million b/d, while secondary sources estimated production at 1.145 million b/d, according to the Monthly Oil Market Report.

"To date, PDVSA has signed 61 strategic agreements in the oil and gas sector," Rodríguez said.

Obregón said that 44 negotiations are still ongoing and that the company projects closing out 2026 with a total of 105 signed contracts.

These agreements include memoranda of understanding, partnerships and productive production contracts, or CPPHs, signed following the reform of the hydrocarbons law in late January. This reform provides greater flexibility in both the tax framework and other legal aspects, such as arbitration and private-sector participation throughout the oil industry.

Obregón did not explain the reasons for the adjustment to the targets.

Operational hurdles

Business leaders who attended the event highlighted several challenges hindering oil production growth.

"Without [enough] electricity or oil-cement, it is very difficult to accelerate oil production plans in the short term," said a business leader from the construction sector who spoke with Platts, part of S&P Global Energy, on condition of anonymity.

"There is not enough Class G cement — which is resistant to high pressures and aggressive fluids — used in drilling, completion and well reentry operations."

Power shortages affect the entire country, particularly the oil industry, which depends on the national power grid.

According to available figures, the total infrastructure has a theoretical capacity of 30,000-34,000 MW; however, actual electricity generation is about 13,000 MW, representing less than 40% of the installed capacity.

"There is an immediate plan to stabilize the national power grid in the fourth quarter of the year to provide an additional 1,300 MW," Rodríguez told business leaders on Oct. 8 in Caracas.

Jose Aguilar, a Venezuelan specialist in the electricity sector, told Platts: "That contribution appears insufficient to cover the deficit and support, in the short term, that is, over six to 12 months, a growing oil industry."

"In the Zulia state basin, about 250 MW are needed. In the eastern region, where the crude oil has different characteristics,

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about 1,000 MW are needed," Aguilar said.

"The new capacity announcement ... at Planta Centro, Unit 6; Termozulia 2, 5 and 7; and Planta Rafael Urdaneta totals 1,140 MW, leaving 160 MW unaccounted for," said Aguilar, who holds a degree in engineering from Ohio State University.

"The proposal presented by Rodríguez treats the expansion as a simple, continuous increase in restored capacity," Aguilar said. "It assumes that there will be no new failures, neither at the power plants nor in the unreliable power grid, and that fuel supplies of the quality required to operate the units on a sustained basis will be available. Both of these assumptions are questionable."

Service opportunity

However, some companies see these limitations as opportunities to rebuild the infrastructure that supports oil production.

Alejandro Hernández, Baker Hughes regional vice president, told Platts: "In the near term, we believe the opportunity is likely to be less about greenfield development and more about restoring and optimizing existing infrastructure — with our installed base and the need for power at remote sites where crude is located, this is an opportunity for the company."

"We would expect demand to initially center around production solutions, artificial lift, well integrity, intervention, production optimization, equipment refurbishment and eventually drilling and completions as activity ramps," Hernández said.

According to Hernández, even moderate increases in national production levels will require significant work to restore field performance and replace the aging infrastructure.

In September, the average production by Venezuelan state oil company PDVSA and its foreign partners, including productive production contracts, rose to 1.218 million b/d, from 1.213 million b/d in August, according to preliminary data from the Ministry of Hydrocarbons, reviewed by Platts.

The reforms to the oil legislation were approved a few weeks after former President Nicolás Maduro was detained by US military forces on Jan. 3.

— Mery Mogollon

EPA proposes full reallocation of 2025 RINs to offset small refinery exemptions

- EPA to add 770M RINs to 2026-27 obligations
- Biofuel producers welcome reallocation plan
- Refiners argue mandates raise fuel costs

The US Environmental Protection Agency proposed adding 770 million Renewable Identification Numbers to refiners' biofuel blending obligations for 2026 and 2027, fully offsetting exemptions granted to small refineries for the 2025 compliance year.

During a Sept. 13 visit to Iowa ethanol plant Big River United Energy — where EPA Administrator Lee Zeldin appeared alongside US Rep. Ashley Hinson, Republican-Iowa, Renewable Fuels Association President and CEO Geoff Cooper, and other local leaders and biofuels executives — Zeldin said the agency was considering two options: dividing the additional obligation equally between the 2026 and 2027 compliance years or assigning the entire volume to 2027. EPA will accept public comments on both options through Dec. 4, it said in a release.

The additional 770 million RINs represent the difference between the exemption volume EPA projected when setting its 2026-27 Renewable Fuel Standard targets and the volume it ultimately waived through its Aug. 31 small refinery exemption decisions.

Under the Renewable Fuel Standard, refiners and fuel importers must blend prescribed amounts of renewable fuels into the transportation fuel supply or acquire RINs to demonstrate compliance. Small refineries, those that produce fewer than 75,000 barrels/day, can petition the EPA for exemptions, or SREs, if they face disproportionate economic hardship under the program.

EPA on Aug. 31 approved full exemptions for 18 of 34 refineries that petitioned for 2025 relief and partial exemptions for another 11. Three petitions were denied and two were deemed ineligible. The decisions exempted 1.76 billion RINs, compared with the 990 million EPA had projected when establishing the 2026-27 standards.

At the time, EPA said it would propose reallocating 100% of the difference between the projected and actual exemption volumes into the 2026 and 2027 obligations and avoid replacing retired RINs with freshly generated ones, as that policy "would result in decreased RIN prices, leading to decreased future investments in renewable fuel production and threatening the stability of the RIN market nationwide."

D4 and D6 RINs plunged to four-month lows in late August as traders anticipated the EPA would adopt a more lenient approach to exemptions in the face of rising refined products prices. On Oct. 13 Platts assessed 2025 D6 RINs at $1.9625/RIN and 2025 D4 RINs at $2.0225/RIN, up about 10% from Aug. 26 lows.

"Today's proposal is working to maintain a strong and durable market" for US farmers, Zeldin said in an Oct. 13 statement.

Political reaction

The proposal renewed a long-running dispute between biofuel producers, who argue SREs reduce demand for ethanol and other renewable fuels, and the refining industry, which says reallocating waived obligations raises compliance costs for refineries that do not receive exemptions.

The Renewable Fuels Association welcomed the proposal and urged EPA to finalize it quickly.

"We thank Administrator Zeldin and the White House for honoring their commitment to fully restore the renewable fuel volumes lost to recent small refinery exemptions," Cooper said in a statement. "While we believe most of the exemptions were unjustified, EPA's reallocation plan, if finalized as proposed, will help offset the demand loss for ethanol producers and farmers."

RFA argued the August exemptions represented the second-highest annual volume of SREs granted by EPA. The group

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maintained that the exemptions should be limited to small, independent refiners experiencing demonstrated hardship.

American Fuel & Petrochemical Manufacturers opposed the proposal, arguing that adding the waived volumes to other refiners' obligations would increase fuel production costs.

"EPA's proposed 'reallocation' is unlawful and would only make fuel more expensive for US consumers," AFPM President and CEO Chet Thompson said in a statement. "The existing mandates are already the highest ever; enough is enough." AFPM claimed RFS compliance adds 30-40 cents/gal to the cost of gasoline and diesel supplied to the US market. Ethanol trade groups have long argued that the fuel type lowers the cost of finished gasoline while supporting demand for US agricultural producers.

In December 2025, US Energy Secretary Chris Wright responded to a refiner's criticism of the Trump administration's biofuel mandate by saying the administration would try to "balance the interests of ag and refiners and, frankly, gasoline and diesel buyers in this country."

"My own views are low-cost, affordable, secure energy is what matters the most," Wright said. "But politics is politics, and we are where we are today."

— Eamonn Brennan

PetroTal's crude output in Peru tops 2026 guidance by 3%

- PetroTal output averaged 13,076 b/d through Q3
- Firm's 25-H well on schedule in Block 95
- PetroTal to conduct seismic studies at jungle Area CXVII

Canadian oil company PetroTal, Peru's biggest producer, said Oct. 14 that its crude production topped 2026 guidance by 3% through the first three quarters. Blocks 95 and 131 have averaged 13,076 b/d in total so far this year, the Calgary-based company said in a statement.

PetroTal, whose production peaked at 23,200 b/d in early 2025, aims to return to 20,000 b/d rates by the first quarter of 2027 after focusing on well repairs at Block 95 this year. The $12 million 25-H well spudded in Block 95's Bretana field last month is on schedule and has reached a depth of 3,362 meters, PetroTal added. The firm aims to drill a second well in Q4, part of its $80-90 million 2026 capex plans.

The company also increased water injection capacity at the block by 6% to 187,000 b/d from a month earlier, part of an expansion program to reach 320,000 b/d by 2028, according to the statement. The company also signed a two-year technical evaluation agreement to carry out 2-D seismic studies in Area CXVII in the northern jungle of the Marañón Basin.

Peru, whose crude production hit a 10-year high in 2019, has yet to recover to pre-pandemic levels as companies including Frontera Energy, Perenco and Pluspetrol pulled out of northern jungle blocks. Peru was producing 39,458 b/d through September, according to state oil contracting agency Perupetro.

— Alex Emery

NABEP deploys 11 workover, two drilling rigs in Venezuela

- 30 steam boilers already on site
- Focus on Lake Maracaibo, Orinoco

North American Blue Energy Partners said it is deploying 11 new 550-horsepower workover rigs across its Venezuelan acreage, the first new mobile repair-and-maintenance systems to operate in the country in more than 15 years.

In addition, two new 1,500-horsepower drilling rigs arrived in early October for operations, with more equipment expected to arrive soon, NABEP said late Oct. 13.

The new equipment complements NABEP's steady ramp-up of operations and production, it said, noting the company has also bought 60 rigs, 30 steam boilers, and 70 pieces of heavy machinery, giving it the largest heavy-equipment fleet in Venezuela.

"NABEP is making serious and steady progress in increasing oil production," CEO Alejandro Betancourt said in a statement. "Every rig that arrives in Venezuela brings us closer to reaching our production goals and revitalizing our country's economy. The challenge ahead is large, but there is no better partner than the US government."

The new equipment purchases follow the August 2026 agreement between NABEP and the US Departments of State and War to expand oil production in Venezuela, according to the statement.

NABEP controls the rights to commercialize more than 65 billion barrels of P1 (proven) oil reserves in Venezuela and plans to invest nearly $100 billion to increase production capacity and improve oil and gas infrastructure, it said, noting the company is rapidly expanding its operations in Lake Maracaibo and the Orinoco Belt and has increased its crude oil output to more than 200,000 barrels/day, compared with 18,000 b/d two years ago with an investment of some $1 billion.

NABEP's near-term target is to increase production to more than 1 million b/d it said, without giving more details.

On Sept. 1, the company said it controls marketing rights over more than 65 billion barrels of Venezuela's P1 reserves.

The US government would have a 35% interest in NABEP, while the company would retain operational control, it said then, adding that Washington would also have preferential access to purchase 20% of production at cost.

— Ashok Dutta

Markets and Data

OIL FUTURES: US crude hits three-week high as fresh attacks cloud Middle East supply outlook

- Iran targets ships in the Strait of Hormuz
- Houthis vow more attacks on Saudi Arabia
- IEA slashes 2027 global demand forecast

US crude futures settled at three-week highs Oct. 14 as Middle East supply concerns mounted amid a spate of fresh attacks on

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shipping in the Strait of Hormuz.

NYMEX November WTI settled 95 cents/barrel higher at $95.09/b, putting the front-month contract at the highest level since Sept. 21, and ICE December Brent climbed 37 cents/b to $106.06/b.

In a statement to Reuters Oct. 14, Iranian officials said the country was actively targeting ships trying to cross the Strait of Hormuz after two vessels were reportedly struck during an attempted transit Oct. 13, according to voluntary reports received by the United Kingdom Maritime Trade Operations Center.

The attacks "support our view that Iran is deliberately seeking to put additional pressure on the oil market. We see a growing risk that the recovery in Middle Eastern exports during September and October will prove short-lived," Global Risk Management analyst Arne Rasmussen said.

Vessel transits via the strait climbed to 26 on Oct. 13 from a revised 24 the day prior, S&P Global Commodities at Sea data showed Oct. 14.

Meanwhile, Houthi militants have attacked Saudi Arabian Oil Co.'s sites in Dhahran, home to the company's headquarters, and in Riyadh, while vowing to continue targeting the company's oil facilities, according to an Oct. 14 statement from the Yemen-based group.

"The Yemeni Armed Forces have carried out a qualitative military operation targeting Aramco Company in Dhahran in the Eastern Province, King Khalid International Airport and the Aramco refinery in Riyadh," Houthi Spokesperson Yahya Saree said in a statement on X, adding that the operations would "continue in the coming days, striking the Saudi enemy's airports and oil facilities."

While the attack had no impact on oil production or flows, it exacerbated supply concerns and boosted prices, Price Futures Group analyst Phil Flynn said in an Oct. 14 note.

"The Houthis vowed more attacks on airports, oil facilities, and Aramco sites, and the strike put a fresh war premium back into the market," Flynn said. "Traders are wondering whether Saudi Arabia and their military can stop the attacks."

NYMEX November RBOB settled up 94 points/gallon at $3.2595/gal and November ULSD declined 70 points/gal to end the session at $4.9274/gal.

Tight global diesel stocks and geopolitical disruptions present upside risks to distillate prices, BofA Global Research Commodity and Derivative Strategist Franciso Blanch said in an Oct. 14 note.

"The approaching Northern Hemisphere winter therefore leaves the distillate market with exceptionally little margin for error. Global oil inventories are approaching extreme seasonal lows, Europe is struggling to attract sufficient diesel imports and refiners have limited scope to increase output without shifting the shortage elsewhere in the barrel," Blanch said.

The front-line NYMEX ULSD crack versus WTI eased to $111.86/b at market settle from $113.10/b the session prior.

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IEA cuts oil demand outlook

The International Energy Agency, in its latest monthly Oil Market Report released Oct. 14, cut its forecasts for global oil demand this year and slashed its estimate for next year's demand recovery, Oct. 14, warning that diesel supplies will remain tight well into next year as the Middle East war continues to hit supplies and fuels pump prices.

World oil demand is now set to decline by an average of 2.6 million barrels/day in 2026 as the impact of the war in the Middle East weighs on markets and demand growth is not expected to return to positive territory until March 2027, the IEA said. The agency kept its average 2026 world oil demand at 102.4 million b/d but cut 2027 demand to 104.4 million b/d from 105 million b/d in its September report, leaving 2027 consumption about 620,000 b/d, or 0.6%, below 2025 levels.

— Christopher Vanmoessner

Diesel deficit deepens as Middle East, Russia exports fall: IEA

- OECD gasoil stocks at lowest since November 2023
- Middle East, Russia exports down more than 60% year on year
- G7 pledges accelerated diesel release to ease supply crunch

Combined Middle Eastern and Russian gasoil exports fell more than 60% year over year in September, ahead of peak winter demand, while US and Chinese supply gains failed to fill the gap, the International Energy Agency said Oct. 14 in its monthly Oil Market Report.

Wholesale diesel prices hit all-time highs of around $220/barrel in Europe and the US in mid-September — nearly double the price of crude oil and pre-crisis levels — as prolonged disruptions to Middle Eastern and Russian exports drained stockpiles far faster than seasonal norms, the IEA said. The price surge is already inflating transport costs, compressing real incomes and feeding broader inflationary pressures across major economies, the agency said.

"Global diesel demand is deeply intertwined with economic activity, rendering it relatively price inelastic," the IEA said. "Nevertheless, sky-high prices, combined with a deterioration in the economic outlook in several countries, have reduced deliveries."

There have been converging supply shocks: reduced Middle East refinery activity following the onset of the regional conflict, Ukrainian drone strikes degrading Russian refining capacity, and a shift in refinery output toward jet fuel at the expense of gasoil yields, the IEA said.

Despite this, diesel cracks for European refiners have retreated from $100/b to around $60/b by early October as soaring freight rates drove up delivered crude costs, the IEA said. As tanker market tensions spread to clean product tankers, delivered diesel prices in the dominant gasoil importing regions — Europe, Africa and Latin America — could rise again in the coming weeks, the IEA said.

Platts, part of S&P Global Energy, assessed ultralow sulfur diesel on a CIF basis in Northwest Europe at $1,491.25/metric ton. This was 4% above Sept. 1, before the latest escalation in the Middle East, and 70% above its five-year average. Its margin over Dated Brent was $69.65/b Oct. 13, down 30% from the start of September but still well above historical levels.

"Any further deterioration in refinery profitability could prompt economic run cuts at marginal refineries in Asia and Europe, increasing market tightness before the end of the year," the IEA said.

Supply collapse

Global gasoil production fell to 26.4 million b/d in Q2, down 1.5 million b/d year over year, while Q3 output dropped a further 1.7 million b/d year over year to 27.2 million b/d, the IEA said. Combined net exports from the Middle East and Russia collapsed by 1.3 million b/d to just 820,000 b/d in September, down more than 60% year over year, the IEA said. Incremental supply from the US and China, which raised combined exports by 610,000 b/d year over year, failed to compensate, the IEA said.

Total OECD gasoil stocks drew counter-seasonally to 565 million barrels in July — down 5% from pre-conflict levels and their lowest since November 2023 — stripping markets of crucial cover ahead of peak winter heating demand. "Inventory draws are projected to accelerate in October as demand rises seasonally while the refining system undergoes regular maintenance work," the IEA said.

Global gasoil demand contracted by 1.1 million b/d year over year in Q2 to 28.5 million b/d and by 750,000 b/d year on year to 28.7 million b/d in Q3, with China and Europe accounting for the bulk of declines, the IEA said. The year-over-year contraction is forecast to accelerate to 1 million b/d in Q4 as deferred heating oil purchases can no longer be postponed, the IEA said.

Higher refinery output is expected to return the market to surplus in Q1 2027, but this will be insufficient to offset deficits accumulated during 2026, the IEA said. "Failing this, further demand reductions and the heavy economic costs these will entail may be needed to balance markets," the IEA said.

On Oct. 2, G7 leaders committed to accelerating delivery of agreed volumes under the IEA Collective Action of March 11, prioritizing the speedy release of diesel supplies in the coming weeks.

— Thomas Washington

NIGERIA DATA: Crude output climbs in September amid stable operations

- Meets OPEC quota for fifth straight month
- Oil output climbs 2.3% on month to 1.72 mil b/d
- Regulator eyes 788,000 b/d from shut-in wells

Nigeria boosted its crude production to an average of 1.53 million barrels/day in September, with the oil-rich African country meeting its OPEC quota for the fifth consecutive month, the state upstream regulator said Oct. 13.

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Nigeria's average oil production, including condensates, rose month over month by 2.3% to 1.72 million b/d in September, while output peaked at 1.84 million b/d on a single day, the Nigerian Upstream Petroleum Regulatory Commission said.

"Nigeria has for five consecutive months met its assigned OPEC quota, producing 1.53 million b/d in May, 1.55 million b/d in June, 1.51 million b/d in July, 1.5 million b/d in August and 1.53 million b/d in September," it said.

"The improved performance was primarily driven by stable production operations across most producing assets and the absence of any major pipeline outages during the period under review," the NUPRC said. "This enhanced operational stability supported improved production uptime and crude evacuation efficiency."

Oil output from Nigeria's key terminals and streams recorded minimal disruptions in September, with the Forcados crude stream pumping 320,320 b/d, while Bonny pumped 303,270 b/d, the NUPRC stated.

Africa's largest oil producer had struggled to meet its OPEC quota in recent years, with output slumping due to underinvestment, crude theft and field maturation, causing its quota to be trimmed to 1.5 million b/d in early 2024.

However, the Nigerian government has taken steps to encourage greater exploration, including with improved fiscal terms and incentives, as well as opening new bid rounds, pushing for undrilled prospects to be passed to others, approving onshore asset swaps and tackling crude theft and vandalism.

On Oct. 11, the NUPRC laid out plans to restore around 788,000 b/d of oil production from shut-in assets across 63 operators, adding that at least 77 oil wells had been successfully re-entered between January and September.

The NUPRC also launched a fresh licensing round on Oct. 7 with 40 oil and gas blocks on offer, expected to add a combined 1.74 million b/d to Nigeria's oil production capacity and 13.9 billion cubic feet/day to its gas capacity, once its fields are fully developed.

Nigeria's flagship Bonny Light export grade was last assessed by Platts, part of S&P Global Energy, at a 40 cents/b discount to Dated Brent on Oct. 13.

— Newsdesk-Nigeria

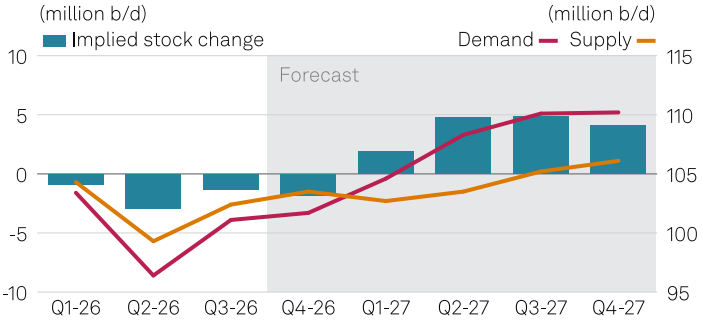
IEA cuts oil demand outlook as diesel shortage extends into 2027

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at $130.52/b Oct. 13, up 84% since the US-Israel war with Iran began in late February and 53% above its five-year average.

On the supply side, the IEA said a recovery in Middle East oil supply was "well underway in September" but remained vulnerable to renewed attacks. It estimated that Gulf crude exports, led by Saudi Arabia, surged by 4.4 million b/d to 13.9 million b/d in September, lifting flows through the Strait of Hormuz by 3.7 million b/d to 10.9 million b/d as regional inventories were drawn down.

Oil market demand/supply balance outlook



Source: IEA

Demand drag

US gasoline demand fell 4% year over year between May and July, even as vehicle miles traveled were essentially flat, a divergence that could be due to tertiary destocking — when retailers and consumers draw down on inventories rather than fill up their tanks — and more fuel-efficient driving habits rather than short-run fleet efficiency gains, the IEA said.

US diesel prices topped $6/gallon for the first time in September, up around 70% since the start of the Middle East war — the sharpest relative increase of any OECD country, the IEA said. The IEA forecast an annual contraction of 90,000 b/d, or 0.4%, in US oil consumption in 2026, with gasoline and gasoil each declining around 2%, the IEA said.

In OECD Europe, oil deliveries declined by 270,000 b/d year over year in July, with Germany, France and Italy each contracting by around 70,000 b/d. Gasoil accounted for 90% of the overall drop, declining around 4% year over year, the IEA said.

In June and July, gasoil was by far the main drag on demand, declining by around 4% year over year and accounting for 90% of the overall drop, the IEA said. "Gasoil use will continue to decrease at a comparable pace over the remainder of the year," it said.

This comes amid a bleaker macroeconomic picture. Eurozone inflation hit 3.8% in September, a three-year high, with the European Central Bank having raised its benchmark rate by half a percentage point since the war in the Middle East began, the IEA said.

Refining margins diverge

Global refinery runs are set to hit a seasonal low of 81.3 million b/d in October before rebounding to 84.6 million b/d by year-end, the IEA said.

"Record freight and crude costs crushed margins in Europe and Asia, while discounted feedstocks propelled US margins to new highs," it said. Global runs will drop by 2.3 million b/d, to 81.7 million b/d in 2026 and rise by 2.8 million b/d in 2027, the IEA said.

The Platts Forties Northwest Europe Cracking Netback Margin was $18.62/b Oct. 13, down 67% from Sept. 1, since when the scope of the war has been intensifying with attacks by Yemen's Houthis on Saudi infrastructure, but the market was still 41% above the five-year average. By contrast, flat prices for products remain buoyant. Platts assessed ultralow sulfur diesel on a CIF basis in NWE at $1,491.25/metric ton, or $200.17/b, on Oct. 13. This

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was 4% above Sept. 1 and 70% above its five-year average.

Singapore margins fell $7-$15/b month over month in September, hurt by rapidly escalating VLCC freight rates from the Middle East, while OECD Europe crude throughputs surged 540,000 b/d to 12 million b/d in August as record margins encouraged additional runs, despite Rhine River disruptions and unplanned outages at German refineries, the IEA said.

Stock releases

On Oct. 7, IEA member governments supported accelerating the emergency stock releases announced in March 2026 and, where possible, prioritizing diesel stocks.

By the end of September, IEA countries had released 331 million barrels of the 400 million barrels committed on March 11; 240 million barrels from government stocks and 91 million barrels from obligated industry stocks. Releases totaled 274 million barrels between March and June, averaging 2.2 million b/d, but only 8 million barrels in September.

Around 96 million barrels remain to be released; 46 million in IEA Europe, 40 million in IEA Americas and 10 million in IEA Asia Oceania. Most are expected to be released over the next four months, the IEA said.

Global observed stocks fell by 10 million barrels in September from end-August, despite a 103 million-barrel increase in oil on water, equivalent to 3.4 million b/d, due to robust exports through the Strait of Hormuz, the IEA said. On-land stocks fell by 113 million barrels, or 3.8 million b/d, including a 76 million-barrel decline in non-OECD inventories; Chinese onshore crude accounted for 59 million barrels, the IEA said. Preliminary data showed OECD stocks falling by 37 million barrels, mainly due to a 28 million-barrel decline in industry inventories, while emergency stock releases slowed, the IEA said.

— Thomas Washington, Robert Perkins

INTERVIEW: India seeks to attract upstream capital with offshore reforms, deepwater drilling support

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"If you take all these changes along with the hydrocarbon exploration and licensing policy and the open acreage licensing framework, the companies really get a very wonderful scope to select their opportunities for their investments. Of course, the geological uncertainty will remain part of the exploration, but the government's role is to make the policy environment clear and dependable, which we have done," Mittal said.

Additionally, the Oilfields (Regulation and Development) Amendment Act 2025 and related rules provide for including unified leases, stability in lease conditions and clearer dispute-resolution arrangements, he added.

Category II, III basins

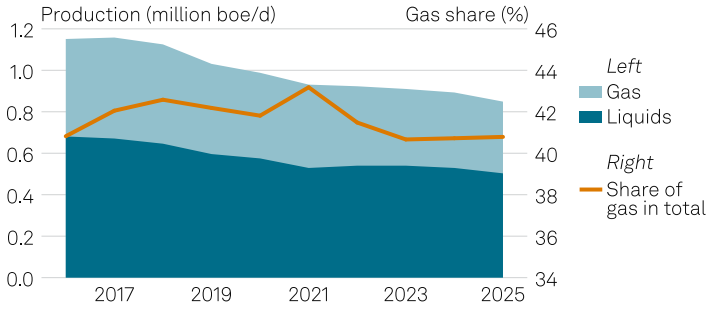
India has also revised fiscal and contractual provisions to address the high costs and uncertainty associated with Category II and Category III basins, particularly in deepwater and ultra-deepwater areas, Mittal said.

"Deepwater economics is really highly sensitive to the timing of expenditure, the probability of discovery and the scale of resource which is ultimately discovered and developed," he said.

The federal Cabinet approved investments of up to 840 billion Indian rupees ($8.8 billion) over five years in late July to advance offshore oil and gas exploration under Samudra Manthan, or the National Offshore Exploration Scheme. The initiative is expected to catalyze reserve accretion of more than 600 million metric tons of oil equivalent by fiscal year 2030-31 (April-March), the petroleum ministry said July 31.

The government will fund up to 50% of eligible deepwater exploration drilling costs, capped at $71 million per well. By partially covering these costs, the scheme could significantly improve the economics of frontier exploration.

ONGC's oil and gas production trend



Source: S&P Global Energy

Mittal said Samudra Manthan was conceived as a long-term energy security initiative rather than as a response to a specific supply disruption. The program was announced before the latest crisis, he added, reflecting the government's view that India must develop domestic resources despite the long lead times involved.

"The design of the program recognizes that difficult investment decisions may arise before a company knows whether a commercially recoverable resource exists," Mittal said, adding that it is intended to complement the fiscal regime by addressing costs incurred before commercial success is established.

India is also seeking to reduce the administrative and operational delays that can affect offshore development schedules, he said.

"The government realizes that ease of doing business is critical for improving the [exploration and production] outcomes," Mittal said, adding that delays can affect factors such as rig availability and appraisal sequencing. Updated contracts therefore provide for flexible work programs, exit provisions and clear treatment of delays related to statutory clearances.

Latest exploration rounds

India's Open Acreage Licensing Policy Rounds X and X1 offer international explorers access to substantial offshore acreage, Mittal said.

Round X comprises 25 blocks covering about 182,589 square kilometers across 13 sedimentary basins. 19 blocks are offshore,

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including one deepwater block and 12 ultra-deepwater blocks. Round X1 comprises 21 blocks covering about 80,234 sq km, including one deepwater block and four ultra-deepwater blocks.

"The onshore and shallow-water bidding windows have closed, while the deepwater and ultra-deepwater windows for both rounds are scheduled to remain open until Nov. 15," Mittal said, adding that international companies should evaluate the blocks alongside the applicable terms, contractual safeguards and available geological data.

The National Data Repository provides access to available seismic and well information, while the Directorate General of Hydrocarbons makes block coordinates, maps and other geoscientific material available to bidders.

"A good amount of data, seismic data, would help companies assess any petroleum system. Before they commit scarce exploration capital, they would need that," Mittal said.

He added that India's confidence in the next phase of upstream development comes from the cumulative impact of regulatory reform, contractual stability, investment protections, unified leases, broader acreage access and improved project economics.

"The opportunity ahead will turn a new accessible frontier into a sustained program of exploration and development," Mittal said.

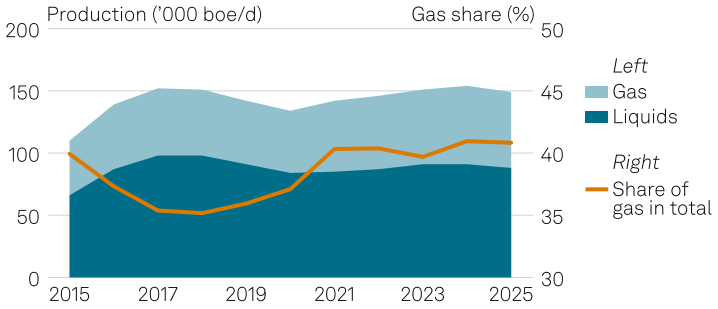
According to S&P Global Energy CERA, recent geopolitical turbulence has further underscored supply vulnerabilities. Against this backdrop, the government is accelerating efforts to boost domestic exploration, as reflected in the latest rounds of exploration.

Global momentum behind offshore deepwater and ultra-deepwater discoveries has also encouraged India to expand exploration into its own frontier and unexplored regions. Several of the country's Category II and Category III basins — such as Mahanadi, Andaman Sea, Bengal and Kerala-Konkan — remain largely underexplored despite having, according to government estimates, about 22 billion barrels of oil equivalent in undiscovered hydrocarbon potential, said Rahul Chauhan, senior principal upstream analyst at CERA.

To tap these resources, India is actively seeking participation from global operators with advanced deepwater expertise. The $8.8 billion in funding under Samudra Manthan will help accelerate deepwater and ultra-deepwater exploration in the country, with the aim of strengthening domestic production, enhancing energy security and reducing long-term import dependence, Chauhan added.

— Sambit Mohanty

Oil India's oil and gas production trend



Source: S&P Global Energy

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Platts pricescore

Week ending		09-Oct	02-Oct
Crude oil			
Dated Brent	($/b)	129.94	123.52
Dubai (First month)	($/b)	108.11	107.84
WTI (Cushing) (First month)	($/b)	90.10	91.28
ANS (California)	($/b)	113.01	105.61
Mars (MOC)	($/b)	91.22	89.52
Products			
NWE (CIF cargoes)			
Naphtha (physical)	($/mt)	891.60	842.35
Diesel 10PPM NWE	($/mt)	1433.80	1446.60
Diesel 10ppm UK	($/mt)	1436.10	1448.35
Fuel Oil 3.5%	($/mt)	582.05	562.50
Jet Kerosene	($/mt)	1594.20	1543.55
Singapore (FOB cargoes)			
Kerosene (physical)	($/b)	174.89	173.08
Kerosene (paper)	($/b)	167.78	168.51
Gasoil 0.5%	($/b)	170.14	174.30
HSFO 180cst	($/mt)	735.94	695.68
C&F Japan			
Naphtha (physical)	($/mt)	942.35	897.25
US Atlantic Coast (Barge)			
RBOB 87	(¢/gal)	337.94	341.91
No. 6 1.0% (Cargo)	($/b)	99.91	96.33
US Gulf (Pipeline)			
Unleaded 87	(¢/gal)	350.85	356.26
No. 2	(¢/gal)	403.27	393.68
US Gulf (Waterborne)			
USGC HSFO	($/b)	80.54	78.29
Average settlement prices			
NY Mercantile Exchange			
Light Sweet Crude	($/b)	90.06	91.62
No. 2 oil	(¢/gal)	465.01	477.44
RBOB	(¢/gal)	328.45	333.42
Natural Gas	($/MMBtu)	31.39	30.20
IntercontinentalExchange			
Gasoil	($/mt)	1419.30	1428.88
Brent	($/b)	101.76	102.98

The averages in this table are the mean of Platts low and high daily quotations, or exchange settlements, calculated on a 5-day week basis, Monday through Friday. Saturdays and Sundays are excluded.

US degree days indicator through October 11

The degree days indicator for US heating oil demand so far this heating season (through October 11) was 30.15% greater than the corresponding period of the last season and 55.86% less then normal.

The indicator is comprised of the average degree days for 18 geographically representative US cities, weighted to reflect the cities' relative consumption of home heating oil.

The degree days data were compiled by Platts from reports by CustomWeather.

September 1 - October 11

	Sep-26 Oct-26	Sep-25 Oct-25	Normal	Week Ended 11-Oct
East Coast				
Boston	81	54	114	31
New York City	42	22	61	24
Philadelphia	19	16	48	12
Washington DC	33	31	75	19
Average	44	31	74	22
Great Lakes				
Buffalo	96	60	175	41
Chicago	31	41	132	9
Cleveland	64	50	132	30
Detroit	57	40	130	22
Average	62	48	142	26
Midwest				
Denver	15	74	167	1
Minneapolis	61	64	198	16
Omaha	20	31	115	3
St. Louis	5	9	48	1
Average	25	44	132	6
Southeast				
Birmingham	1	0	9	1
Charleston, SC	0	4	2	0
Nashville	1	1	24	1
Raleigh	11	10	25	5
Average	3	4	15	2
West Coast				
Portland, OR	54	48	125	18
San Francisco	23	3	63	7
Average	38	26	94	12
Simple Average for all groups				
	35	30	92	13
Heating oil demand indicator*				
	38	29	85	18

* This is the average of each group's simple average weighted to reflect each group's percentage of past home heating oil demand, totaled for the 18 cities.

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September milder in Europe, but colder in Canada and Japan

September was milder in Europe, but colder in Canada and Japan than a year ago, according to data obtained from CustomWeather and gathered by Platts.

A total of 19 cities geographically representative of Europe had 26.1% fewer heating degree days in September than in September 2025. The total for the September-September period was 26.1% fewer degree days than the similar period last year and 35.1% fewer than normal.

Eight cities geographically representative of Canada had 48% more degree days in September than in September 2025. The total for the September-September period was 48% more than the similar period last year and 4.7% fewer than normal.

Four cities geographically representative of Japan had 45.9% more degree days in September than in September 2025. The total for the September-September period was 45.9% more than the similar period last year and 27.5% fewer than normal.

	Sep-Sep 2026-2026	Sep-Sep 2025-2025	Sep-Sep Normal	September 2026	September 2025
Canada					
Based on 65 deg. F					
Edmonton	370	227	404	370	227
Halifax	225	129	163	225	129
Montreal	118	78	121	118	78
Regina	205	152	295	205	152
St. John's	280	245	248	280	245
Toronto	64	41	85	64	41
Vancouver	188	82	161	188	82
Winnipeg	198	157	250	198	157
TOTAL	1,647	1,113	1,727	1,647	1,113
Europe					
Based on 65 deg. F					
Amsterdam	87	146	165	87	146
Brussels	75	150	163	75	150
Copenhagen	165	143	197	165	143
Dublin	159	303	251	159	303
Essen	79	150	164	79	150
Frankfurt	66	146	146	66	146
Geneva	32	138	130	32	138
Hamburg	131	153	202	131	153
Helsinki	257	247	354	257	247
Klagenfurt	123	79	169	123	79
London	52	172	144	52	172
Marseilles	0	31	8	0	31
Milan	1	51	48	1	51
Munich	176	217	238	176	217
Oslo	354	318	370	354	318
Paris	20	123	112	20	123
Rome	0	0	3	0	0
Stockholm	265	208	284	265	208
Vienna	84	106	133	84	106
TOTAL	2,128	2,881	3,280	2,128	2,881
Japan					
Based on 65 deg. F					
Nagasaki	0	0	0	0	0
Osaka	0	0	0	0	0
Sapporo	64	44	88	64	44
Tokyo	0	0	0	0	0
TOTAL	64	44	88	64	44

US degree days for September

The degree days indicator for US heating oil demand for September was 121.54% greater than for September 2025 and 44.11% less then normal.

The indicator is comprised of the average degree days for 18 geographically representative US cities, weighted to reflect the cities relative consumption of home heating oil.

The degree days data were compiled by Platts from reports by CustomWeather.

	September 2026	2025	Normal
East Coast			
Boston	47	20	45
New York City	18	1	17
Philadelphia	8	0	11
Washington DC	13	5	25
Average	21	6	24
Great Lakes			
Buffalo	47	19	79
Chicago	16	19	56
Cleveland	28	25	57
Detroit	28	14	54
Average	30	19	61
Midwest			
Denver	11	37	71
Minneapolis	34	31	88
Omaha	9	16	45
St. Louis	2	3	12
Average	14	22	54
Southeast			
Birmingham	0	0	2
Charleston, SC	0	0	0
Nashville	0	1	5
Raleigh	6	0	5
Average	1	0	3
West Coast			
Portland, OR	36	10	51
San Francisco	14	2	40
Average	25	6	45
Simple Average for all groups			
	18	11	38
***Heating oil demand indicator**			
	18	8	32

* This is the average of each group's simple average but weighted to reflect each group's percentage of past home heating oil demand, totaled for the 18 cities.

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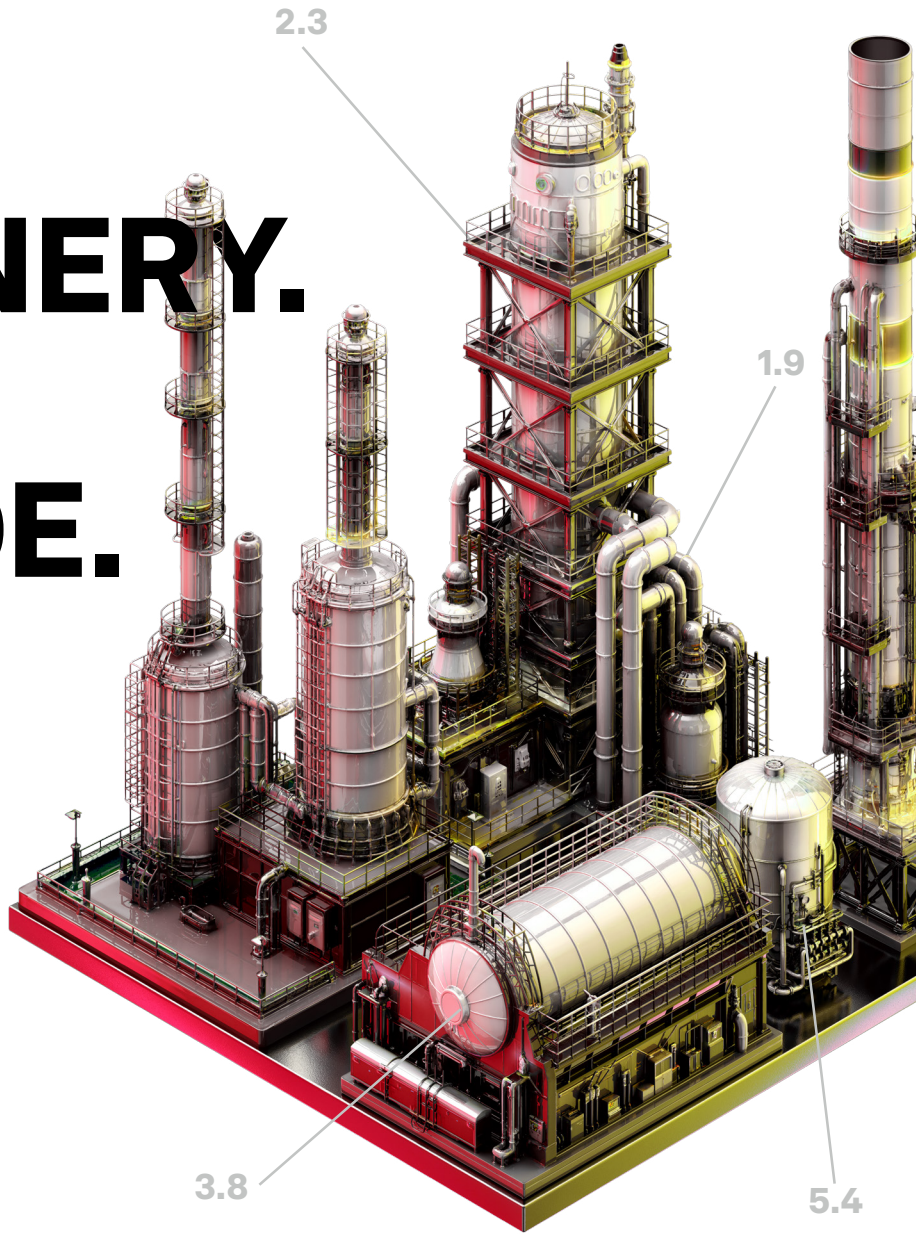
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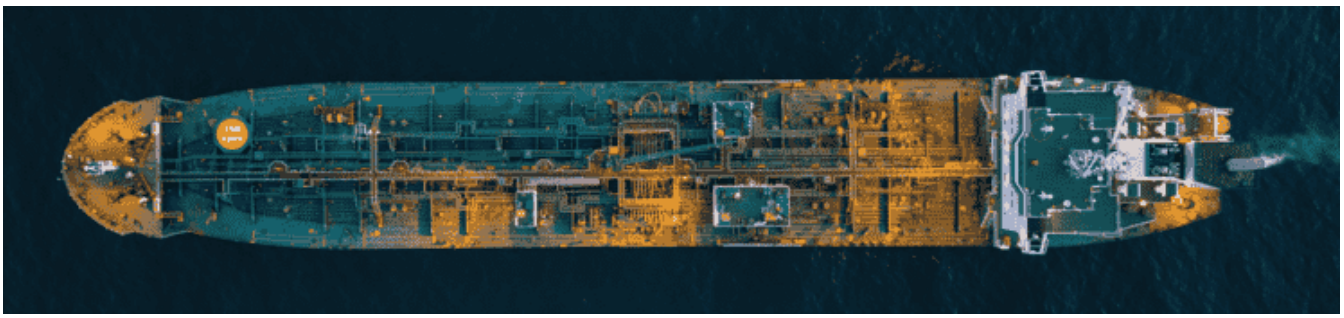
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